

Banks - China (H/A)

1H26 preview: expect continued improvement in profit growth

Rating Change

K-shaped earnings divergence in 1H26

H-share banks' average net profit growth is expected to improve from +1.1% YoY in 1Q26 to +1.7% in 1H. Pre-provision profit (PPOP) growth rose from +1.5% in FY25 to +9.2% in 1Q26 and should remain robust in 1H. As highlighted in our recent note on the [sector's K-shaped divergence \(link\)](#), the Big Four enjoy particularly strong revenue momentum, supported by their long-term time deposit re-pricing down, bond trading gains, and equity investment income. Banks' stock performance has diverged YTD, following the broad-based re-rating and outperformance in 2024-25. We continue to favor the big banks for their strong earnings visibility and attractive dividend yields. Upgraded ABC-H from Neutral to Buy, CMB-A from Underperform to Buy, ABC-A from Underperform to Neutral, and cut CCB-A from Buy to Neutral. ICBC/ABC-H/CCB-H are our preferred SOE banks, CNCB-H/CIB/BONB/BOJS are our top mid/small-cap picks.

Loan growth further decelerates

Sector loan growth softened from 6.2% YoY in Dec-25 to 5.7%/5.2% in Mar/Jun-26, amid persistently weak credit demand. The loan mix also became more imbalanced, with retail loans accounting for -3% of new loans in 1H26, vs. 3%/15% in 2025/24. Mortgage continued to decline, while banks are getting cautious on personal business and consumer loans, amid elevated NPL formation. PBOC's recent emphasis on credit quality over quantity growth also suggests limited incentive for broad-based volume expansion.

NIM pressure eased in 1H26, but could resume next year

Banks' NIM rose 3bp QoQ in 1Q and should remain stable in 2Q, supported by last year's asymmetric rate cuts (1Y LPR -10bp vs. demand deposit rates -5bp and 1Y/3Y time deposit rates -15bp/-25bp). Some SOE banks could deliver modest QoQ NIM expansion in 2Q. However, corporate loan pricing remains under pressure amid weak credit demand and substitution from bond financing. As most deposit repricing benefits should be realized in 2026, NIM could face renewed pressure in 2027, as lower bond reinvestment yields and shifting of asset mix toward bonds/corporate loans weigh on asset yields.

Credit risk controllable; more prudent provisioning

Credit risks remain concentrated in household loans. NPL ratios rose across retail loan categories in 2025, and banks generally do not expect an inflection point in new formation yet. H-share banks' total provisions jumped by 23% YoY in 1Q26 (PSBC: +65% YoY), and prudent provisioning should continue in 2Q amid strong PPOP growth.

Non-interest income strong; emerging tax pressure

Fee income grew 5% YoY on average in 1Q and should remain solid in 2Q. Other non-interest income should also benefit from lower bond yields and equity revaluation gains, particularly for the big banks. On the other side, higher tax rates could be a headwind for several banks, including BoComm/PSBC (effective tax rates historically <10%), ABC (1Q26 effective tax rate at 3.9%), and BOC (following the recent audit).

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Exhibit 1: Rating & PO change summary

We upgraded ABC-H from Neutral to Buy, CMB-A from Underperform to Buy, ABC-A from Underperform to Neutral, and cut CCB-A from Buy to Neutral.

H-share	Rating	PO New	PO Old
ABC	BUY ↑	6.29	6.06
BOC	NEUTRAL	5.39	5.21
BoComm	NEUTRAL	6.96	7.00
CCB	BUY	9.72	9.69
ICBC	BUY	7.69	7.60
PSBC	Under-PFM	4.68	4.77
CEB	Under-PFM	2.91	3.26
CMB	Under-PFM	50.09	49.80
CNCB	BUY	9.02	8.88
MSB	Under-PFM	3.53	3.60
CQRB	BUY	8.26	8.39
A-share	Rating	PO New	PO Old
ABC	NEUTRAL ↑	6.91	6.67
BOC	NEUTRAL	6.01	5.81
BoComm	BUY	7.76	7.81
CCB	NEUTRAL ↓	10.84	10.81
ICBC	BUY	8.57	8.48
PSBC	NEUTRAL	5.22	5.32
CEB	Under-PFM	2.92	3.30
CMB	BUY ↑	43.44	43.28
CNCB	Under-PFM	8.26	8.13
MSB	Under-PFM	3.50	3.57
CIB	BUY	22.56	22.08
SPDB	Under-PFM	8.28	8.55
PAB	BUY	13.41	13.12
BOCD	BUY	21.61	19.78
BOHZ	BUY	19.54	19.31
BOJS	BUY	13.42	12.99
BONB	BUY	40.17	38.25
BONJ	NEUTRAL	13.02	12.84
BOSZ	NEUTRAL	9.66	9.67
CQRB	BUY	8.51	8.92
CSRB	NEUTRAL	7.14	7.34
SHRB	Under-PFM	8.63	9.23

Source: Bofa Global Research estimates

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See acronyms at the end of the report

Financial forecasts

We maintain our 2026-27E earnings forecasts broadly unchanged overall, while reducing earnings estimates for CEB, MSB, and CQRB by 2-8%. We continue to expect major listed banks to deliver average earnings growth of around 5-6% in FY2026-27E. Among them, large SOE banks are expected to post 2-5% earnings growth, while smaller regional banks should continue to lead with 5-11% YoY growth. Our price objectives have been adjusted accordingly to reflect the earnings revisions and the roll-forward of our valuation base to the average of 2026-27E book value.

Exhibit 2: Updated earnings estimates and POs for our covered banks

We adjusted banks' earnings in FY26-27E modestly

	H-share			A-share			FY26 earnings*			FY27 earnings*		
	Rating	PO (HKD)	Chg to PO	Rating	PO (CNY)	Chg to PO	Vs Consensus	YoY	New vs old	Vs Consensus	YoY	New vs old
ABC	BUY ↑	6.29	+4%	NEUTRAL ↑	6.91	+4%	+4.6%	+4.8%	+0.0%	+4.9%	+4.4%	+0.4%
BOC	NEUTRAL	5.39	+3%	NEUTRAL	6.01	+3%	+4.6%	+4.2%	+0.3%	+4.3%	+3.4%	+1.1%
BoComm	NEUTRAL	6.96	-1%	BUY	7.76	-1%	+4.8%	+4.7%	-0.7%	+4.5%	+3.0%	-1.7%
CCB	BUY	9.72	+0%	NEUTRAL ↓	10.84	+0%	+4.0%	+3.9%	+0.4%	+3.4%	+3.2%	+0.2%
ICBC	BUY	7.69	+1%	BUY	8.57	+1%	+4.1%	+4.0%	+0.2%	+4.1%	+3.3%	-1.0%
PSBC	Under-PFM	4.68	-2%	NEUTRAL	5.22	-2%	+2.3%	+2.3%	-0.4%	+3.0%	+2.2%	-1.8%
CEB	Under-PFM	2.91	-11%	Under-PFM	2.92	-12%	-13.2%	-7.6%	-7.8%	-1.0%	+4.9%	-6.9%
CMB	Under-PFM	50.09	+1%	BUY ↑	43.44	+0%	+2.4%	+2.0%	+1.2%	+2.4%	+2.5%	+1.9%
CNCB	BUY	9.02	+2%	Under-PFM	8.26	+2%	+3.6%	+3.2%	+0.0%	+5.7%	+5.7%	+0.0%
MSB	Under-PFM	3.53	-2%	Under-PFM	3.50	-2%	-3.7%	-2.2%	-2.8%	+11.3%	+6.2%	-1.3%
CIB				BUY	22.56	+2%	+0.9%	+0.9%	-1.4%	+6.8%	+7.1%	-1.0%
SPDB				Under-PFM	8.28	-3%	+5.9%	+5.9%	+0.8%	+6.7%	+5.9%	-1.4%
PAB				BUY	13.41	+2%	+2.6%	+4.2%	-0.0%	+8.0%	+4.8%	-0.0%
BOCD				BUY	21.61	+9%	+3.8%	+5.8%	-1.7%	+8.9%	+8.5%	-1.4%
BOHZ				BUY	19.54	+1%	+10.1%	+10.1%	-0.6%	+7.9%	+8.6%	-1.4%
BOJS				BUY	13.42	+3%	+8.2%	+8.3%	-0.2%	+8.0%	+8.2%	-0.2%
BONB				BUY	40.17	+5%	+10.9%	+10.9%	-1.7%	+14.1%	+13.7%	-1.2%
BONJ				NEUTRAL	13.02	+1%	+8.3%	+8.3%	-0.1%	+9.2%	+9.4%	+0.3%
BOSZ				NEUTRAL	9.66	-0%	+7.1%	+8.9%	+0.5%	+8.9%	+8.4%	+0.5%
CQRB	BUY	8.26	-2%	BUY	8.51	-5%	+7.9%	+7.7%	-2.4%	+9.1%	+9.8%	-2.2%
CSRB				NEUTRAL	7.14	-3%	+7.4%	+9.2%	-0.5%	+6.9%	+8.6%	-0.6%
SHRB				Under-PFM	8.63	-6%	+0.8%	+1.7%	+0.1%	+4.7%	+4.6%	+0.8%
National bank average^							+1.8%	+2.3%	-0.1%	+4.9%	+4.3%	-0.2%
All Average							+4.0%	+4.6%	-0.1%	+6.4%	+6.2%	-0.8%

Source: BofA Global Research estimates, Bloomberg *The earnings are net profits before deduction of AT1 distribution ^ state banks + joint stock banks

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Upgrade ABC-H to Buy and ABC-A to Neutral

We make only modest changes to our FY26-28E earnings estimates, ranging from -0.2% to +0.4%. Rolling forward our valuation base from FY26E to the average of FY26-27E, raises our POs for ABC-H and ABC-A by 3-4% to HKD6.29 and RMB6.91, respectively (from HKD6.06 and RMB6.67).

Including dividends, ABC-H has generated only a ~4% total return YTD, making it one of the weakest performers among the Big Six banks, ahead of only PSBC-H. ABC-A has declined 11.6% YTD, the worst performer in the group. Its valuation and dividend yield are increasingly in line with other SOE banks.

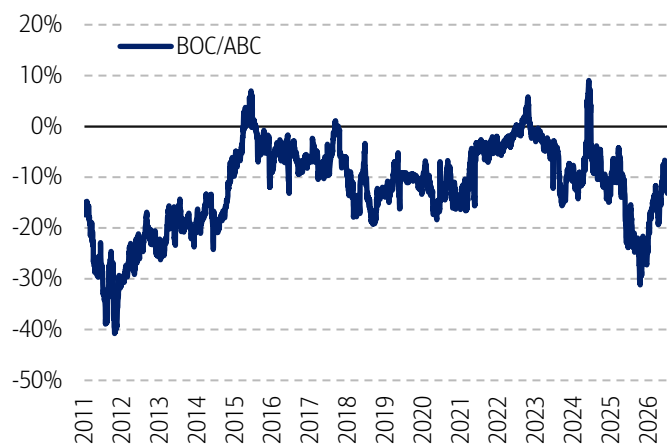
ABC has delivered sector-leading earnings growth over the past three years and in 1Q26, and we expect this outperformance to continue, supported by gradual NIM stabilization, industry-leading loan growth, and a stronger provision buffer.

We also believe market concerns over recapitalization-related dilution have become increasingly overdone. With policymakers emphasizing high-quality growth and ABC's earnings and capital base continuing to expand, the impact of recap on asset growth and ROE/EPS/BPS dilution should be more manageable than previously anticipated.

We upgrade ABC-H to Buy from Neutral and ABC-A to Neutral from Underperform.

Exhibit 3: We raise ABC-H to Buy and prefer ABC-H to BOC-H

Relative PB valuation trend: BOC over ABC

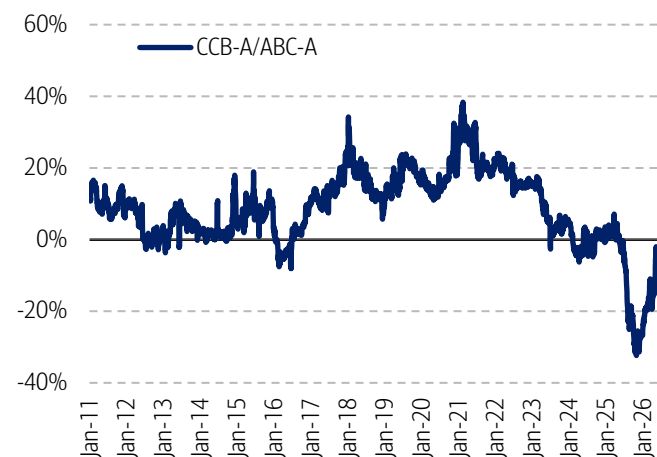


Source: Bloomberg

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Exhibit 4: We raise ABC-A and downgrade CCB-A, given CCB's substantial outperformance over ABC over the past 8mths

Relative PB valuation trend: CCB-A over ABC-A



Source: Bloomberg

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Upgrade CMB-A to Buy from Underperform

We raise CMB's FY2026-27E earnings forecasts by 1.3-1.9% and roll forward our valuation base from FY26E to the average of FY26-27E, resulting in a slightly higher PO for CMB-A of RMB43.44 (from RMB43.28).

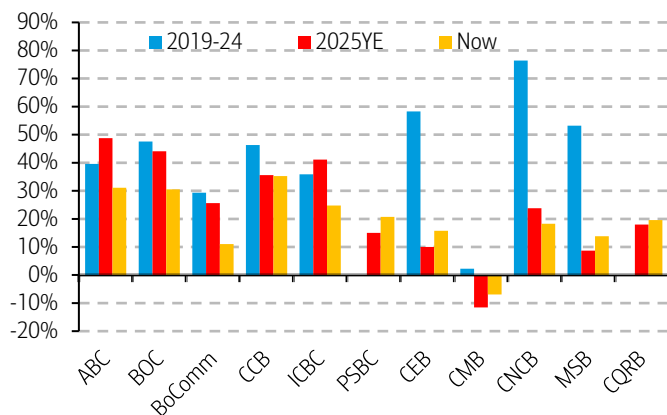
Even after adjusting for dividends, CMB-A is still down ~2% YTD, making it one of the weakest performers among the major banks. Its valuation has de-rated to c.6.7x P/E, below the Big Four banks' 7.4-8.0x range. Its dividend yield has also risen to over 5.3%, more than 1ppt above the Big Four banks' 3.9-4.2% and higher than CMB-H's 4.9%.

We expect CMB's net profit growth to accelerate from 1.5% in 1Q26 to 2.9% in 1H26, narrowing the growth gap with the Big Four banks.

Given its undemanding valuation, attractive dividend yield, and improving earnings momentum, we upgrade CMB-A to Buy from Underperform and prefer it over Underperform-rated CMB-H.

Exhibit 5: A-H premium (discount) of the dual-listed banks

A-H premium show mixed trend YTD

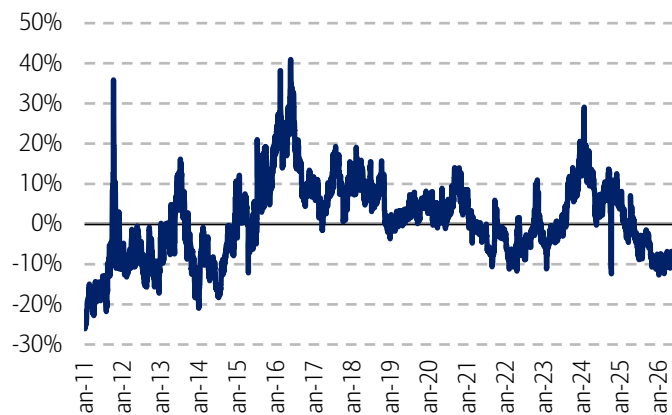


Source: Bloomberg

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Exhibit 6: CMB's A-H premium (discount) trend

CMB's A-H discount at 7% currently is near the bottom in the past decade



Source: Bloomberg

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Downgrade CCB-A to Neutral from Buy

We make modest changes to our FY26-28E earnings estimates, ranging from -0.7% to +0.4%, and roll forward our valuation base from FY26E to the average of FY26-27E. This results in a largely unchanged PO for CCB-A of RMB10.84 (vs. RMB10.81 previously).

Including dividends, CCB-A has delivered a 12.8% total return YTD, making it the best-performing stock among the Big Six banks. Its valuation has re-rated to among the highest within the SOE bank group, while its dividend yield has compressed to 4%, the lowest among peers.

We also expect CCB's 2Q26 revenue growth to modestly lag peers, given the exceptionally high base in 2Q25, which was boosted by strong trading gains and wealth management fee income.

With valuation less compelling and near-term earnings momentum relatively less favorable, we see limited further upside in CCB-A and downgrade it to Neutral from Buy. We prefer Buy-rated CCB-H over CCB-A, given its more attractive valuation (0.53x vs. 0.72x P/B) and higher dividend yield.

Exhibit 7: China banks' 1H26E earnings

Positive earnings growth expected among state/most joint-stock banks in 1H26E.

	Reporting dates (tentative)	1Q26	1H26E
H-share banks			
ABC	28-Aug	+4.5%	+4.8%
BOC	28-Aug	+4.2%	+4.0%
BoComm	28-Aug	+3.1%	+4.5%
CCB	28-Aug	+3.5%	+3.9%
ICBC	28-Aug	+3.3%	+4.1%
PSBC	28-Aug	+1.9%	+2.8%
CEB	28-Aug	-8.1%	-11.7%
CMB	28-Aug	+1.5%	+2.9%
CNCB	26-Aug	+3.0%	+3.1%
MSB	28-Aug	-9.6%	-6.2%
CQRB	28-Aug	+5.1%	+6.1%
A-share banks			
CIB	27-Aug	+0.2%	+0.2%
SPDB	28-Aug	+1.5%	+5.3%
PAB	15-Aug	+3.0%	+3.2%
BOCD	26-Aug	+4.8%	+4.4%
BOHZ	26-Aug	+10.1%	+10.1%
BOJS	19-Aug	+8.2%	+8.1%
BONB	19-Aug	+10.3%	+10.3%
BONJ	18-Aug	+8.0%	+8.5%
BOSZ	26-Aug	+8.2%	+8.4%
CSRB	26-Aug	+11.1%	+10.5%
SHRB	27-Aug	+0.7%	+2.1%

Source: Company reports *Net profit before AT1 distribution

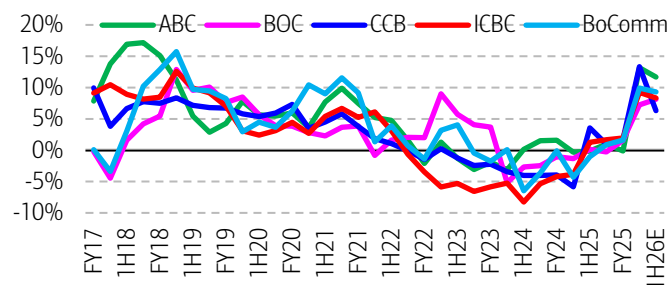
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Key Charts

Exhibit 8: YoY growth of pre-provision profit: big five banks

Expect big five banks' PPOP growth to vary from +6% to +12% YoY in 1H26E

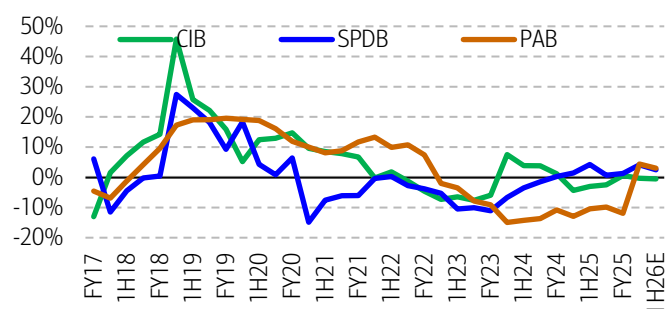


Source: Company reports

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Exhibit 10: YoY growth of pre-provision profit: JSB - A

Expect A-share JSBs' PPOP growth to be -1% to +3% YoY in 1H26E

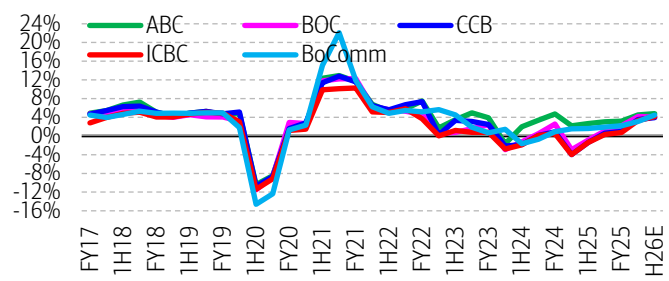


Source: Company reports

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Exhibit 12: YoY growth of net profit*: big five banks

Expect big five banks' net profit to rise by 4-5% YoY in 1H26E

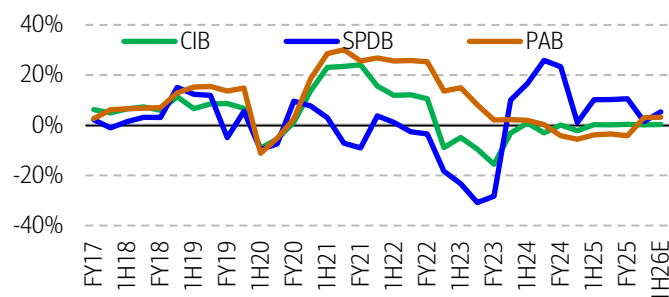


Source: Company reports; *Net profit before AT1 distribution

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Exhibit 14: YoY growth of net profit*: JSB - A

Expect A-share JSBs' net profit growth to be 0% to +5% YoY in 1H26E

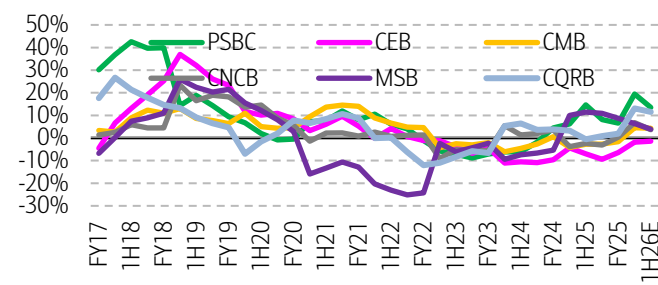


Source: Company reports; *Net profit before AT1 distribution

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Exhibit 9: YoY growth of pre-provision profit: other banks - H

Expect H-share banks' PPOP YoY growth to be -1% to +14% in 1H26E

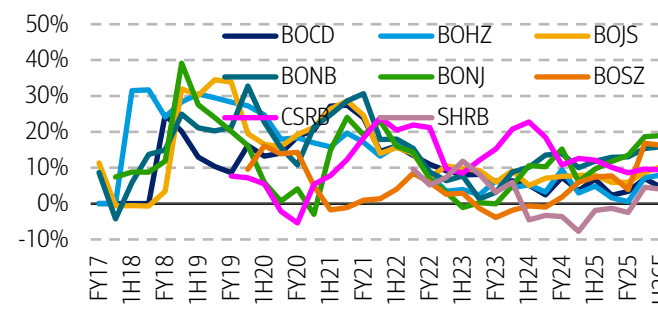


Source: Company reports

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Exhibit 11: YoY growth of pre-provision profit: city/rural banks - A

Expect city/rural banks' PPOP growth to vary from +4% to +19% YoY in 1H

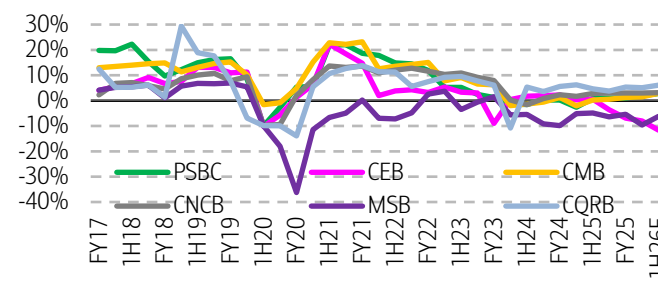


Source: Company reports

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Exhibit 13: YoY growth of net profit*: other banks - H

Expect other H-share banks' earnings to grow -12% to +6% YoY in 1H26E

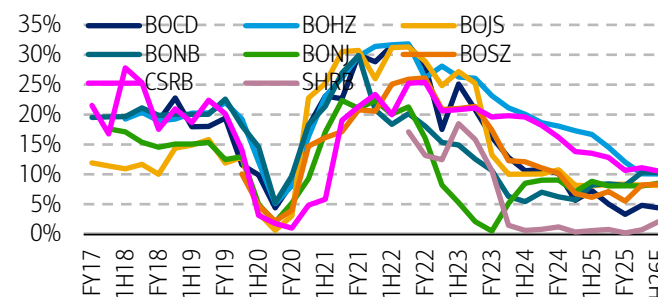


Source: Company reports; *Net profit before AT1 distribution

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Exhibit 15: YoY growth of net profit*: city/rural banks - A

City/rural banks' earnings growth to vary from +2% to +11% YoY in 1H26E



Source: Company reports; *Net profit before AT1 distribution

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Exhibit 16: H-share banks 1H26E results preview (RMB mn)

H-share banks' average net profit growth is expected to modestly recover from +1.1% YoY in 1Q to +1.7% YoY in 1H26E

	ABC			BOC			CCB			ICBC		
	1H26E	YoY	2Q/1Q	1H26E	YoY	2Q/1Q	1H26E	YoY	2Q/1Q	1H26E	YoY	2Q/1Q
Gross loans (RMB bn)	28,850	+8.1%	+1.5%	24,768	+7.7%	+1.5%	29,353	+7.1%	+1.6%	32,186	+6.6%	+1.7%
Net interest margin	1.28%	-5bp	+3bp	1.26%	-0bp	+0bp	1.37%	-3bp	+2bp	1.30%	-0bp	+1bp
Credit cost	0.84%	+9bp	-42bp	0.56%	-2bp	-17bp	0.82%	-5bp	-4bp	0.77%	+7bp	-18bp
Net interest income	308,800	+9.3%	+4.2%	235,445	+9.6%	+2.7%	314,020	+9.5%	+4.6%	341,609	+8.9%	+2.7%
Net fee income	51,400	-0.1%	-29.8%	48,897	+4.5%	-19.4%	64,892	-0.5%	-37.7%	70,371	+5.0%	-28.0%
Other non-interest income	42,800	+32.6%	-28.4%	74,100	+9.3%	+8.2%	29,150	-14.2%	+24.8%	28,650	+0.6%	+28.6%
Total non-interest income	94,200	+12.5%	-29.2%	122,997	+7.3%	-3.8%	94,042	-5.2%	-22.4%	99,021	+3.7%	-14.7%
Total operating income	403,000	+10.0%	-4.7%	358,442	+8.8%	+0.4%	408,062	+5.7%	-2.3%	440,630	+7.7%	-1.5%
Operating expenses	-114,800	+6.2%	+12.7%	-131,446	+10.0%	-0.5%	-99,323	+4.0%	+16.8%	-115,084	+6.0%	+20.1%
Pre-provision profit	288,200	+11.7%	-10.9%	226,996	+8.1%	+1.0%	308,739	+6.3%	-7.8%	325,546	+8.3%	-8.2%
Provision for loans	-118,000	+21.1%	-38.4%	-67,494	+3.9%	-23.7%	-116,677	+1.4%	-2.2%	-120,699	+18.1%	-18.7%
Total provisions	-119,500	+22.0%	-37.9%	-67,494	+17.4%	-23.7%	-116,677	+8.4%	-10.8%	-120,699	+15.5%	-26.2%
Other items	50	-88.7%	+184.6%	420	-29.8%	+130.7%	120	-140.1%	-152.4%	3,580	+18.3%	+9.8%
Pre-tax income	168,750	+5.1%	+14.5%	159,922	+4.5%	+13.9%	192,181	+5.3%	-6.3%	208,428	+4.7%	+4.4%
Income tax	-21,938	+6.5%	+509.3%	-28,786	+7.1%	+8.5%	-23,062	+16.5%	-13.7%	-31,473	+4.2%	+25.8%
Net profit	146,813	+4.9%	-5.8%	131,136	+4.0%	+15.1%	169,119	+4.0%	-5.2%	176,955	+4.8%	+1.1%
Minority interests	-650	+50.1%	-35.4%	-8,803	+3.0%	+3.4%	-700	+24.6%	-67.9%	-1,920	+174.3%	-20.9%
Net profit before AT1	146,163	+4.8%	-5.6%	122,333	+4.0%	+16.0%	168,419	+3.9%	-4.8%	175,035	+4.1%	+1.3%
AT1 distribution	-6,821	-25.9%	-43.0%	-8,269	-14.8%	na	-796	na	na	-4,889	+33.3%	+291.4%
Net profit attributable	139,342	+6.9%	-3.3%	114,064	+5.7%	+1.4%	167,623	+3.4%	-5.7%	170,146	+3.5%	-2.0%

	BoComm			PSBC			CEB			CMB		
	1H26E	YoY	2Q/1Q	1H26E	YoY	2Q/1Q	1H26E	YoY	2Q/1Q	1H26E	YoY	2Q/1Q
Gross loans (RMB bn)	9,520	+5.8%	+0.8%	10,293	+7.9%	+1.6%	4,056	-0.7%	+0.0%	7,472	+5.0%	+0.1%
Net interest margin	1.23%	+2bp	+0bp	1.64%	-6bp	-2bp	1.40%	+0bp	-2bp	1.81%	-7bp	-4bp
Credit cost	0.69%	-0bp	+20bp	0.63%	+13bp	-18bp	0.92%	+15bp	+5bp	0.73%	+6bp	-16bp
Net interest income	92,133	+8.1%	+1.7%	148,601	+6.9%	+1.1%	46,979	+3.4%	+0.2%	110,679	+4.3%	-1.1%
Net fee income	20,560	+0.5%	-17.1%	19,117	+13.0%	-41.2%	9,680	-7.3%	-12.2%	39,482	+5.0%	-8.9%
Other non-interest income	28,550	+3.6%	+25.3%	24,600	+4.5%	+40.3%	7,004	-30.5%	+18.6%	24,700	+0.6%	+49.3%
Total non-interest income	49,110	+2.3%	+5.4%	43,717	+8.0%	-3.8%	16,684	-18.7%	-0.4%	64,182	+3.2%	+10.0%
Total operating income	141,243	+6.0%	+3.0%	192,318	+7.1%	-0.0%	63,663	-3.5%	+0.0%	174,861	+3.9%	+2.8%
Operating expenses	-53,775	+1.0%	+10.4%	-101,804	+2.0%	+0.3%	-17,718	-8.5%	+13.2%	-58,131	+3.1%	+11.9%
Pre-provision profit	87,468	+9.3%	-1.3%	90,514	+13.5%	-0.4%	45,944	-1.4%	-4.6%	116,730	+4.3%	-1.4%
Provision for loans	-31,997	+5.9%	+36.5%	-31,394	+36.5%	-22.7%	-18,496	+20.1%	+6.3%	-26,899	+15.2%	-19.0%
Total provisions	-33,797	+1.4%	+37.8%	-31,394	+44.5%	-22.7%	-18,496	+16.2%	+6.3%	-26,899	+9.2%	-18.8%
Other items	250	+3.3%	+52.5%	0	na	na	0	na	na	1,523	-8.9%	+3.9%
Pre-tax income	53,921	+14.9%	-19.8%	59,119	+1.9%	+13.9%	27,449	-10.5%	-11.4%	91,355	+2.8%	+4.5%
Income tax	-5,392	+108.5x	-47.2%	-8,277	-3.6%	+261.1%	-5,583	-6.0%	-15.8%	-13,886	+2.9%	+9.5%
Net profit	48,529	+4.5%	-16.1%	50,843	+2.9%	-3.3%	21,866	-11.6%	-10.2%	77,469	+2.7%	+3.6%
Minority interests	-450	+2.5%	-0.9%	-230	+23.0%	-8.3%	-115	-3.4%	-14.5%	-400	-15.8%	+4.1%
Net profit before AT1	48,079	+4.5%	-16.2%	50,613	+2.8%	-3.3%	21,751	-11.7%	-10.2%	77,069	+2.9%	+3.6%
AT1 distribution	-1,872	+11.1%	na	0	-100.0%	-200.0%	-2,358	-2.0%	-39.4%	-1,302	-34.1%	+204.2%
Net profit attributable	46,207	+4.2%	-23.4%	50,613	+17.4%	+10.1%	19,393	-12.7%	-5.9%	75,767	+3.9%	+1.9%

Exhibit 16: H-share banks 1H26E results preview (RMB mn)

H-share banks' average net profit growth is expected to modestly recover from +1.1% YoY in 1Q to +1.7% YoY in 1H26E

	CNCB			MSB			CQRB		
	1H26E	YoY	2Q/1Q	1H26E	YoY	2Q/1Q	1H26E	YoY	2Q/1Q
Gross loans (RMB bn)	6,000	+3.4%	+0.0%	4,482	+0.3%	-1.0%	843	+10.2%	+1.6%
Net interest margin	1.62%	-1bp	+2bp	1.42%	+3bp	-2bp	1.66%	+6bp	-6bp
Credit cost	1.01%	+12bp	-0bp	1.18%	+13bp	+10bp	0.49%	+3bp	-26bp
Net interest income	73,399	+3.1%	+2.4%	50,810	+3.3%	-1.3%	13,271	+13.0%	-1.6%
Net fee income	17,100	+1.1%	-10.5%	10,023	+3.5%	-7.9%	810	+3.9%	-46.6%
Other non-interest income	17,965	+3.7%	-8.2%	11,486	+3.6%	-35.6%	1,806	-18.4%	+98.4%
Total non-interest income	35,065	+2.5%	-9.3%	21,509	+3.6%	-23.7%	2,616	-12.6%	+30.8%
Total operating income	108,464	+2.9%	-1.6%	72,318	+2.3%	-8.6%	15,887	+7.8%	+3.1%
Operating expenses	-29,890	+0.9%	-2.0%	-21,240	-1.3%	-4.7%	-4,004	-1.9%	+19.1%
Pre-provision profit	78,574	+3.7%	-1.4%	51,078	+3.9%	-10.1%	11,883	+11.6%	-1.7%
Provision for loans	-29,899	+17.4%	+0.7%	-26,238	+11.9%	+9.9%	-2,000	+19.2%	-40.3%
Total provisions	-33,390	+12.9%	+7.5%	-29,671	+12.5%	+13.0%	-1,994	+11.8%	-40.9%
Other items	1,283	+213.0%	+166x	0	na	na	0	na	-200.0%
Pre-tax income	46,468	-0.3%	-2.6%	21,407	-6.1%	-34.9%	9,889	+11.5%	+8.3%
Income tax	-8,145	-14.7%	+66.5%	-1,389	+5.4%	-105.7%	-1,483	+45.0%	+4.2%
Net profit	38,323	+3.4%	-13.0%	20,018	-6.8%	-25.8%	8,406	+7.1%	+9.0%
Minority interests	-713	+19.6%	-17.6%	30	-131.3%	-69.6%	-238	+60.4%	+74.0%
Net profit before AT1	37,610	+3.1%	-12.9%	20,048	-6.2%	-25.9%	8,168	+6.1%	+7.6%
AT1 distribution	-3,132	+30.2%	na	-1,500	+0.0%	na	-78	+0.0%	na
Net profit attributable	34,478	+1.2%	-28.5%	18,548	-6.7%	-38.9%	8,090	+6.2%	+5.6%

Source: BofA Global Research estimates, company reports

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Exhibit 17: A-share banks 1H26E results preview (RMB mn)

Mixed earnings trend for A-share joint-stock banks and city/rural commercial banks in 1H26E

	CIB			SPDB			PAB			BOCD		
	1H26E	YoY	2Q/1Q	1H26E	YoY	2Q/1Q	1H26E	YoY	2Q/1Q	1H26E	YoY	2Q/1Q
Gross loans (RMB bn)	6,186	4.80%	0.50%	5,868	4.10%	0.60%	3,465	1.60%	0.00%	911	9.30%	2.00%
Net interest margin	1.48%	-9bp	-2bp	1.48%	+7bp	-0bp	1.79%	-1bp	-1bp	1.68%	+6bp	+6bp
Credit cost	0.93%	-4bp	+5bp	0.93%	-4bp	+15bp	1.22%	-19bp	+57bp	0.40%	+3bp	-13bp
Net interest income	73,757	0.00%	-0.20%	64,770	11.10%	1.80%	44,224	-0.60%	0.30%	11,524	18.00%	4.50%
Net fee income	14,528	11.10%	1.00%	11,973	-1.50%	-9.10%	13,912	9.20%	-11.00%	217	-12.60%	24.20%
Other non-interest income	20,849	-11.80%	-7.80%	16,083	-19.70%	-1.00%	13,044	9.00%	23.20%	999	-54.80%	22.60%
Total non-interest income	35,377	-3.60%	-4.30%	28,056	-12.90%	-4.60%	26,956	9.10%	4.10%	1,215	-50.50%	22.90%
Total operating income	109,134	-1.20%	-1.60%	92,826	2.60%	-0.20%	71,180	2.80%	1.70%	12,739	4.20%	6.10%
Operating expenses	-28,880	-3.00%	14.70%	-25,925	2.70%	24.40%	-20,318	2.40%	5.00%	-3,093	3.30%	8.20%
Pre-provision profit	80,254	-0.50%	-6.80%	66,901	2.50%	-8.40%	50,862	3.00%	0.40%	9,646	4.50%	5.50%
Provision for loans	-28,255	-0.10%	7.80%	-26,857	0.90%	19.50%	-20,971	-12.20%	62.80%	-1,769	20.30%	-25.10%
Total provisions	-29,838	-0.90%	10.40%	-30,857	-4.20%	33.20%	-19,971	2.70%	50.30%	-1,562	10.90%	-45.60%
Other items	15	-250.00%	-163.40%	68	0.00%	-61.20%	0	na	na	50	-3.40%	52.20%
Pre-tax income	50,432	-0.20%	-16.00%	36,112	9.00%	-33.80%	30,891	3.20%	-22.50%	8,134	3.30%	19.70%
Income tax	-7,096	-1.40%	1.20%	-4,513	39.10%	-73.00%	-5,228	3.30%	-18.20%	-1,228	-2.30%	25.10%
Net profit	43,335	-0.10%	-18.50%	31,599	5.70%	-26.10%	25,663	3.20%	-23.30%	6,906	4.40%	18.80%
Minority interests	-88	-60.00%	0.00%	-273	73.60%	-111.80%	0	na	na	0	na	na
Net profit before AT1	43,247	0.20%	-18.50%	31,327	5.30%	-24.60%	25,663	3.20%	-23.30%	6,906	4.40%	18.80%
AT1 distribution	-3,314	0.00%	na	0	-100.00%	-200.00%	0	-100.00%	-200.00%	0	na	na
Net profit attributable	39,933	0.30%	-32.40%	31,327	8.00%	-18.80%	25,663	12.40%	-2.10%	6,906	4.40%	18.80%

	BOHZ			BOJS			BONB			BONJ		
	1H26E	YoY	2Q/1Q	1H26E	YoY	2Q/1Q	1H26E	YoY	2Q/1Q	1H26E	YoY	2Q/1Q
Gross loans (RMB bn)	1,165	15.40%	1.00%	2,838	16.80%	5.50%	1,949	16.50%	2.80%	1,554	12.00%	1.20%
Net interest margin	1.42%	+7bp	+0bp	1.62%	-11bp	-2bp	1.71%	-5bp	-5bp	1.56%	+18bp	-14bp
Credit cost	0.23%	-45bp	+23bp	0.81%	-12bp	-15bp	1.26%	+17bp	-12bp	1.09%	+20bp	-24bp
Net interest income	15,707	20.00%	0.20%	35,581	8.00%	-0.10%	29,353	14.10%	-0.20%	21,122	35.00%	-4.60%
Net fee income	2,000	-14.40%	-40.10%	3,843	20.60%	-11.90%	4,905	74.90%	-9.50%	2,450	-12.50%	-35.40%
Other non-interest income	3,300	-25.80%	62.80%	9,128	5.00%	10.90%	6,500	-24.10%	9.20%	7,774	-18.30%	21.20%
Total non-interest income	5,300	-21.90%	11.40%	12,971	9.20%	3.60%	11,405	0.30%	0.70%	10,224	-17.00%	4.40%
Total operating income	21,007	5.70%	2.90%	48,552	8.30%	0.90%	40,758	9.90%	0.10%	31,346	12.10%	-1.80%
Operating expenses	-5,000	-0.90%	8.10%	-10,769	2.00%	3.80%	-11,337	-3.00%	7.40%	-7,127	-6.30%	-2.60%
Pre-provision profit	16,007	7.90%	1.30%	37,783	10.30%	0.00%	29,422	15.80%	-2.60%	24,220	19.00%	-1.50%
Provision for loans	-1,273	-61.30%	224.50%	-10,770	2.20%	-10.50%	-11,569	34.70%	-3.80%	-8,136	38.40%	-16.80%
Total provisions	-1,273	-24.30%	185.90%	-10,880	0.60%	-8.60%	-11,679	24.90%	-5.50%	-8,136	47.40%	-16.90%
Other items	200	-10.10%	130.90%	0	na	na	0	na	na	500	0.00%	-23.40%
Pre-tax income	14,934	11.70%	-5.60%	26,904	14.80%	3.70%	17,742	10.50%	-0.60%	16,583	8.10%	6.20%
Income tax	-2,099	22.90%	-0.60%	-4,114	72.60%	-19.60%	-1,336	10.10%	12.50%	-2,803	6.40%	0.20%
Net profit	12,835	10.10%	-6.40%	22,790	8.20%	8.60%	16,406	10.60%	-1.60%	13,780	8.50%	7.50%
Minority interests	0	na	na	-902	9.80%	62.90%	-110	66.70%	-76.40%	-86	0.00%	7.90%
Net profit before AT1	12,835	10.10%	-6.40%	21,888	8.10%	6.80%	16,296	10.30%	-0.80%	13,694	8.50%	7.50%
AT1 distribution	-528	0.00%	-16.00%	-1,260	0.00%	na	0	na	na	0	na	na
Net profit attributable	12,307	10.50%	-5.90%	20,628	8.70%	-5.10%	16,296	10.30%	-0.80%	13,694	8.50%	7.50%

Exhibit 17: A-share banks 1H26E results preview (RMB mn)

Mixed earnings trend for A-share joint-stock banks and city/rural commercial banks in 1H26E

	BOSZ			CSRB			SHRB		
	1H26E	YoY	2Q/1Q	1H26E	YoY	2Q/1Q	1H26E	YoY	2Q/1Q
Gross loans (RMB bn)	417	+14.8%	+1.1%	274	+9.0%	+1.8%	813	+5.0%	+1.1%
Net interest margin	1.38%	+5bp	-4bp	2.45%	-9bp	-7bp	1.33%	-5bp	+1bp
Credit cost	0.53%	+16bp	+6bp	1.22%	+13bp	+55bp	0.28%	+5bp	-4bp
Net interest income	5,073	+19.0%	-2.2%	4,872	+5.0%	-1.3%	9,900	+2.9%	+3.1%
Net fee income	700	-4.7%	-26.1%	190	+33.9%	-9.8%	1,350	+13.0%	-8.9%
Other non-interest income	1,400	-4.9%	+25.5%	1,310	+0.9%	+13.1%	2,450	-6.2%	+28.3%
Total non-interest income	2,100	-4.8%	+5.2%	1,500	+4.2%	+9.9%	3,800	-0.2%	+13.5%
Total operating income	7,173	+10.9%	-0.1%	6,372	+4.8%	+1.2%	13,700	+2.0%	+5.9%
Operating expenses	-2,130	-0.0%	-0.3%	-2,050	-3.7%	-1.3%	-3,800	-2.9%	+35.5%
Pre-provision profit	5,043	+16.2%	+0.0%	4,322	+9.4%	+2.4%	9,900	+4.0%	-3.6%
Provision for loans	-1,050	+64.5%	+19.1%	-1,615	+21.1%	+64.6%	-1,100	+27.0%	-12.2%
Total provisions	-966	+69.2%	+1.6%	-1,615	+8.1%	+64.6%	-1,101	+26.9%	-11.9%
Other items	42	+0.0%	+54.4%	0	na	na	0	na	na
Pre-tax income	4,119	+8.1%	+0.1%	2,707	+10.1%	-22.4%	8,799	+1.7%	-2.5%
Income tax	-618	+8.2%	-2.2%	-375	+10.1%	-43.7%	-1,480	+0.0%	-11.7%
Net profit	3,501	+8.1%	+0.5%	2,332	+10.1%	-18.4%	7,319	+2.0%	-0.5%
Minority interests	-104	+0.0%	-36.7%	-155	+4.4%	-6.4%	-160	+0.0%	+2.5%
Net profit before AT1	3,396	+8.4%	+1.9%	2,177	+10.5%	-19.2%	7,159	+2.1%	-0.6%
AT1 distribution	-233	+0.0%	+4.5%	0	na	na	0	na	na
Net profit attributable	3,163	+9.0%	+1.7%	2,177	+10.5%	-19.2%	7,159	+2.1%	-0.6%

Source: BofA Global Research estimates, company reports

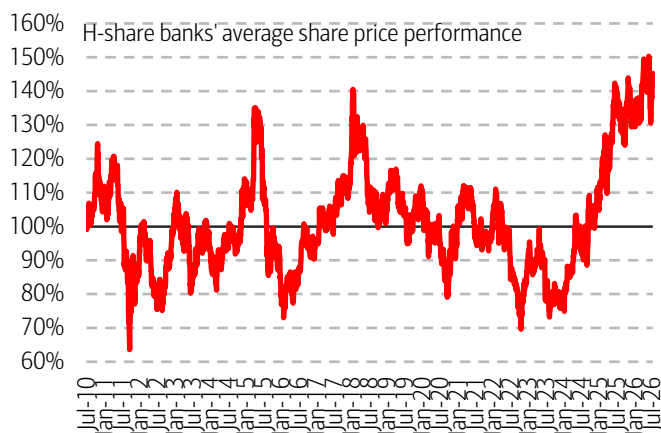
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Share price performance and valuation

The H-share banks are up 7.5% YTD, outperforming MSCI China/HSI/H-FIN by 17.5ppt/10.1ppt/7.0ppt, respectively. The sector's weighted-average share price hit a new high in Apr-2026, with valuations at 0.56x P/B, 3.7x P/PPOP, and 6.2x P/E. Valuations have since eased slightly to current 0.54x P/B, 3.5x P/PPOP, and 5.8x P/E. We see limited absolute upside from here, but a 5-6% dividend yield remains attractive in an RMB appreciation backdrop, particularly amid macro uncertainty.

Exhibit 18: H-share banks are trading near their long-term peak level

H-share banks' weighted average stock price performance

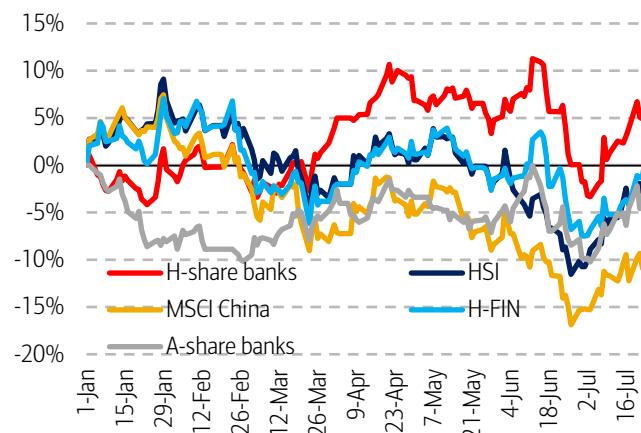


Source: Bloomberg, *Performance is not adjusted for dividends

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Exhibit 19: H-share banks outperformed the MSCI China YTD

H-share banks and market performance YTD



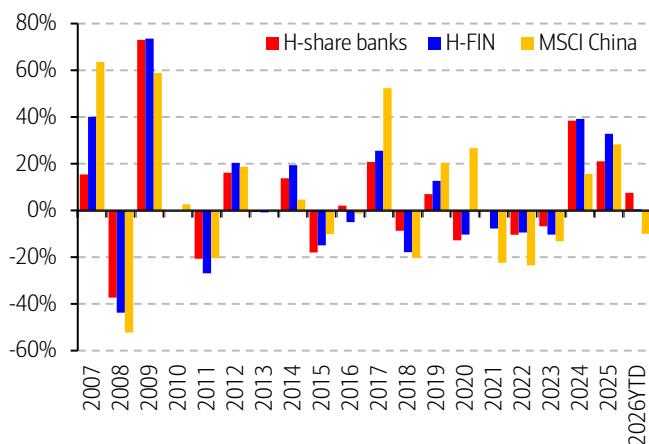
Source: Bloomberg, *Performance is not adjusted for dividends

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Over the past 2 decades, the H-share banks have tended to be defensive and have had lower beta than non-bank financials and the broader China markets. They underperformed non-bank financials and the MSCI China index in the bull markets (eg 2007, 2012, 2017, 2019, 2020, 2025), but outperformed in the down or flattish markets (eg 2008, 2014, 2016, 2018, 2021, 2022, 2023, 2026YTD).

Exhibit 20: H-share banks outperformed MSCI China index YTD

H-share banks' relative performance vs markets

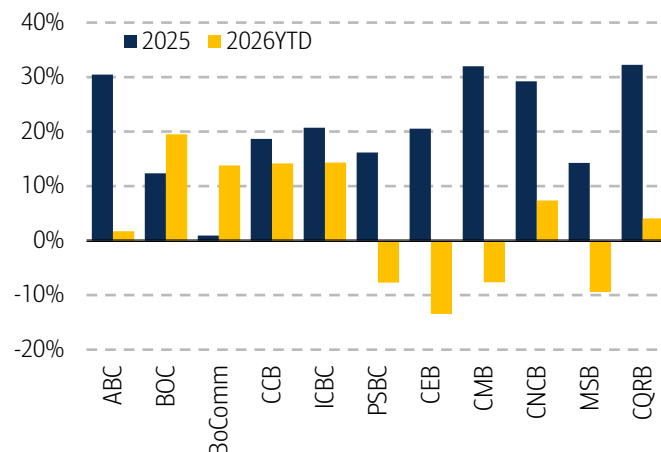


Source: Bloomberg, *Performance is not adjusted for dividends

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Exhibit 21: BOC, CCB, ICBC are the best performers YTD, CEB lagged

Individual banks' H-share performance in 2025/26YTD



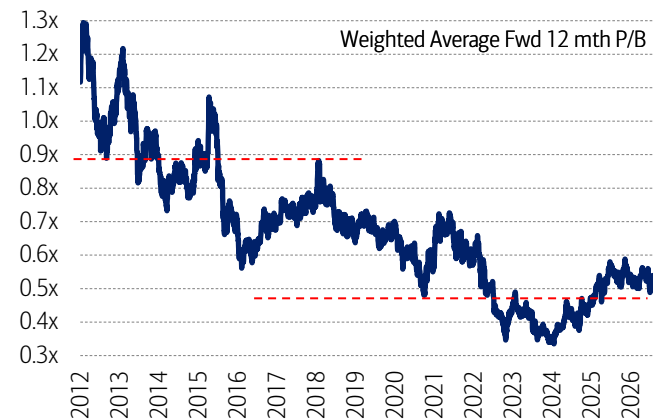
Source: Bloomberg *Performance is not adjusted for dividends

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Valuation of the H-share bank sector suffered long-term de-rating, but re-rated during 2024-2025. It recently troughed at 0.34x forward P/B, 3.2x P/E and 1.9x P/PPOP in Jan-2024, similar to the previous low levels at 0.35x P/B, 3.1x P/E and 1.8x P/PPOP in Oct-2022. The sector currently trades at 0.54x forward P/B, 5.8x P/E and 3.5x P/PPOP.

Exhibit 22: P/B stable at 0.54x currently, same as Jan-26

H-share banks' forward P/B valuation since 2012

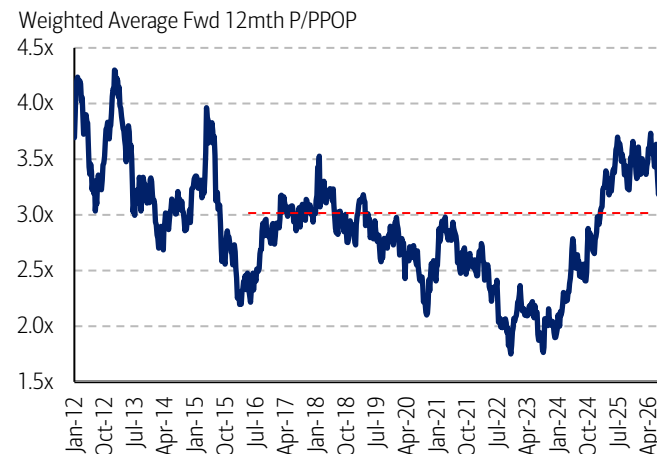


Source: Bloomberg

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Exhibit 23: P/PPOP of the sector at 3.5x, lower than 4.0x the peak level since 2015

H-share banks' forward P/PPOP valuation since 2012



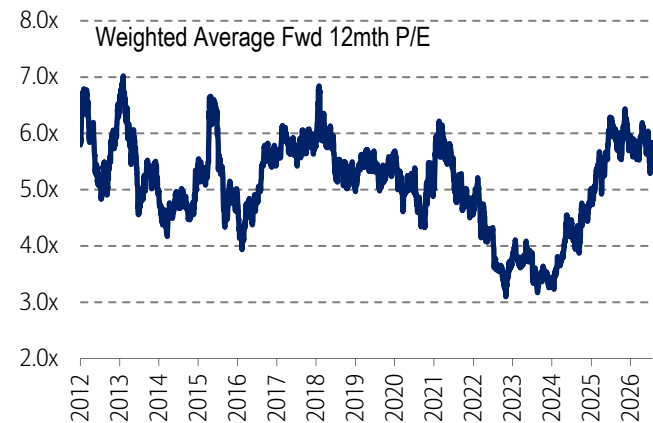
Source: Bloomberg

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Gross dividend yield of the sector declined from nearly 10% in Jan-2024 to 5.3% currently, nearly the lowest level since Jun-2018.

Exhibit 24: P/E rebounded from 3.1x in Oct-22 to 5.8x currently

H-share banks' forward P/E valuation since 2012

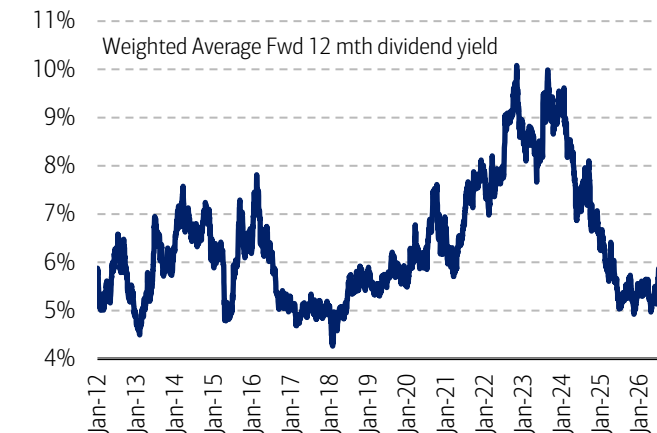


Source: Bloomberg

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Exhibit 25: Div yield declined from the peak of 10%+ to 5.3% currently

H-share banks' average dividend yield

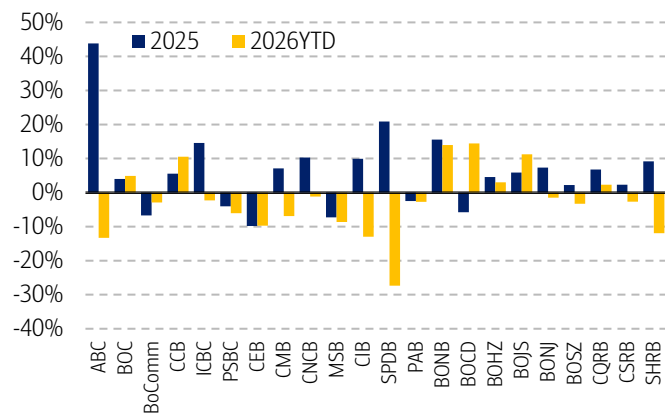


Source: Bloomberg

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Exhibit 26: BOCD, BONB, BOJS outperformed YTD, SPDB lagged

Individual banks' A-share performance in 2025/26YTD

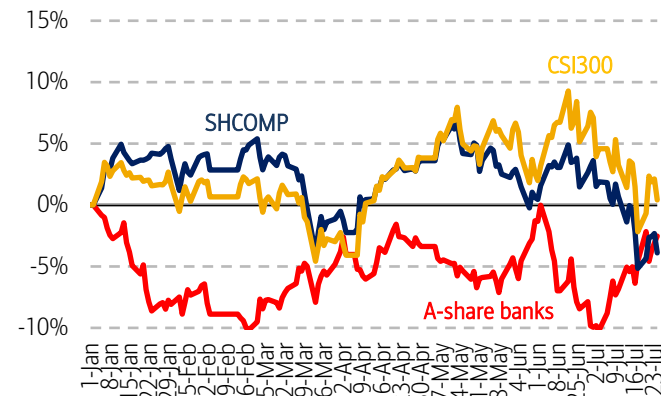


Source: Bloomberg

BofA GLOBAL RESEARCH

Exhibit 27: A-share banks underperformed CSI300 YTD

YTD performance of SHCOMP, CSI300 and A-share banks



Source: Bloomberg

BofA GLOBAL RESEARCH

H-share valuation comp**Exhibit 28: H-share HK/China banks valuation comp**

Most H-banks' dividend yields at 5-6% are attractive in an RMB appreciation environment.

	BofA	BBG	Rating	Price	Mkt cap	P/E		P/B		P/POP		Dividend Yield		ROE		ROA	
	Ticker	Ticker		(HKD)	(USD mn)	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
China Banks (H share)																	
ABC	ACGBF	1288 HK	BUY ↑	5.88	336,984	6.1x	5.8x	0.60x	0.6x	3.6x	3.4x	5.2%	5.5%	10.1%	9.9%	0.6%	0.6%
BOC	BACHF	3988 HK	NEUTRAL	5.33	268,564	6.1x	5.9x	0.52x	0.5x	3.4x	3.2x	5.2%	5.4%	8.7%	8.5%	0.6%	0.6%
CCB	CICHF	939 HK	BUY	8.78	301,290	5.7x	5.6x	0.53x	0.5x	3.5x	3.4x	5.3%	5.5%	9.6%	9.3%	0.7%	0.7%
ICBC	IDCBF	1398 HK	BUY	7.19	388,105	6.0x	5.8x	0.54x	0.5x	3.6x	3.5x	5.2%	5.4%	9.3%	9.0%	0.7%	0.6%
BoComm	BKFCF	3328 HK	NEUTRAL	7.34	88,232	6.0x	5.8x	0.46x	0.4x	3.3x	3.1x	5.4%	5.6%	8.0%	7.8%	0.6%	0.6%
PSBC	PSBKF	1658 HK	UNDERPERFORM	4.91	88,212	6.0x	5.8x	0.48x	0.5x	3.3x	3.1x	5.4%	5.6%	8.1%	8.0%	0.4%	0.4%
CEB	CEBCF	6818 HK	UNDERPERFORM	3.15	26,677	4.8x	4.6x	0.31x	0.3x	1.9x	1.8x	6.3%	6.6%	6.6%	6.5%	0.5%	0.5%
CMB	CIHHF	3968 HK	UNDERPERFORM	48.76	147,948	7.2x	7.0x	0.89x	0.8x	4.8x	4.6x	4.9%	5.1%	13.0%	12.2%	1.1%	1.0%
CNCB	CHBJF	998 HK	BUY	7.45	59,942	5.2x	4.9x	0.46x	0.4x	2.4x	2.3x	6.1%	6.5%	9.2%	9.2%	0.7%	0.7%
MSB	CGMBF	1988 HK	UNDERPERFORM	3.56	22,104	5.2x	4.7x	0.23x	0.2x	1.5x	1.5x	5.8%	6.4%	4.6%	4.9%	0.3%	0.4%
CQRB	COGQF	3618 HK	BUY	6.40	10,683	4.9x	4.5x	0.45x	0.4x	3.0x	2.7x	6.3%	6.9%	9.4%	9.7%	0.7%	0.8%
Sector average					1,738,741	6.0x	5.8x	0.56x	0.5x	3.5x	3.4x	5.3%	5.5%	9.5%	9.2%	0.7%	0.6%
HK Banks																	
BEA	BKEAF	23 HK	UNDERPERFORM	14.94	5,038	8.7x	6.6x	0.36x	0.4x	3.4x	3.3x	5.5%	6.9%	4.3%	5.4%	0.5%	0.6%
BOCHK	BNKHF	2388 HK	NEUTRAL	51.25	69,103	12.0x	11.4x	1.42x	1.3x	11.1x	11.1x	4.6%	5.0%	12.3%	12.1%	0.9%	0.9%
HSBC	XHSBF	5 HK	BUY	161.40	353,697	11.5x	10.4x	1.95x	1.8x	8.5x	7.7x	4.1%	4.9%	17.1%	18.2%	0.9%	1.0%
StanChart	XCHBF	2888 HK	NEUTRAL	224.00	62,591	11.6x	9.7x	1.31x	1.2x	6.8x	5.9x	2.8%	3.3%	11.6%	13.0%	0.6%	0.6%
Sector average					490,430	11.6x	10.4x	1.78x	1.7x	8.6x	7.9x	4.0%	4.7%	15.6%	16.5%	0.9%	0.9%

Source: BofA Global Research estimates, Bloomberg

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A-share China banks valuation comp

Exhibit 29: A-share banks valuation comp

Valuation rebounded to recent year high and dividend yield declined to recent year low on average

	BofA Ticker	BBG Ticker	Rating	Price (CNY)	Mkt cap (USD mn)	P/E		P/B		P/POP		Div Yield		ROE		ROA	
						2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
ABC	XACNF	601288 CH	NEUTRAL ↑	6.66	337,087	8.0x	7.7x	0.78x	0.73x	4.7x	4.5x	4.0%	4.2%	10.1%	9.9%	0.6%	0.6%
BOC	BACZF	601988 CH	NEUTRAL	6.01	268,646	8.0x	7.7x	0.68x	0.64x	4.5x	4.2x	4.0%	4.1%	8.7%	8.5%	0.6%	0.6%
CCB	XCTBF	601939 CH	NEUTRAL ↓	10.26	301,382	7.8x	7.5x	0.72x	0.68x	4.8x	4.6x	3.9%	4.1%	9.6%	9.3%	0.7%	0.7%
ICBC	XIKNF	601398 CH	BUY	7.75	388,223	7.4x	7.2x	0.67x	0.63x	4.5x	4.3x	4.2%	4.3%	9.3%	9.0%	0.7%	0.6%
BoComm	XNCTF	601328 CH	BUY	7.04	88,258	6.6x	6.4x	0.51x	0.49x	3.7x	3.5x	4.9%	5.0%	8.0%	7.8%	0.6%	0.6%
PSBC	XPSSF	601658 CH	NEUTRAL	5.12	88,239	7.3x	7.0x	0.58x	0.54x	4.0x	3.8x	5.2%	5.4%	8.1%	8.0%	0.4%	0.4%
State bank avg.					1,471,835	7.7x	7.4x	0.69x	0.65x	4.5x	4.3x	4.1%	4.3%	9.3%	9.0%	0.6%	0.6%
CEB	XCBLF	601818 CH	UNDERPERFORM	3.15	26,685	5.5x	5.3x	0.36x	0.34x	2.2x	2.1x	5.5%	5.7%	6.6%	6.5%	0.5%	0.5%
CMB	CIHKF	600036 CH	BUY ↑	39.20	147,993	6.7x	6.5x	0.83x	0.77x	4.5x	4.3x	5.3%	5.4%	13.0%	12.2%	1.1%	1.0%
CNCB	CHCKF	601998 CH	UNDERPERFORM	7.61	59,961	6.1x	5.7x	0.55x	0.51x	2.9x	2.8x	5.2%	5.5%	9.2%	9.2%	0.7%	0.7%
MSB	CMAKF	600016 CH	UNDERPERFORM	3.50	22,110	5.9x	5.4x	0.27x	0.26x	1.7x	1.7x	5.1%	5.6%	4.6%	4.9%	0.3%	0.4%
SPDB	SHVPF	600000 CH	UNDERPERFORM	9.04	44,469	6.2x	5.8x	0.39x	0.37x	2.4x	2.4x	4.9%	5.2%	6.4%	6.5%	0.5%	0.5%
CIB	INBLF	601166 CH	BUY	18.33	57,294	5.1x	4.8x	16.50x	15.50x	2.6x	2.4x	1.7%	1.7%	9.0%	9.0%	0.7%	0.7%
PAB	XPABY	000001 CH	BUY	11.10	31,815	5.1x	4.8x	0.45x	0.42x	2.3x	2.2x	5.6%	6.0%	9.0%	9.0%	0.7%	0.7%
Joint-stock bank avg.					390,328	6.1x	5.8x	2.94x	2.76x	3.2x	3.1x	4.7%	4.9%	9.8%	9.6%	0.8%	0.8%
BOCD	XBCQF	601838 CH	BUY	18.45	11,550	5.8x	5.5x	0.83x	0.77x	4.2x	3.9x	5.1%	5.3%	14.8%	14.4%	0.9%	0.9%
BOHZ	XBHCF	600926 CH	BUY	15.74	16,852	5.7x	5.2x	0.77x	0.69x	4.1x	3.8x	4.6%	5.0%	14.2%	13.9%	0.8%	0.8%
BOJS	XBJCF	600919 CH	BUY	11.57	31,360	6.0x	5.5x	0.75x	0.69x	3.1x	2.8x	5.3%	5.8%	13.0%	12.9%	0.7%	0.6%
BONB	XBINF	002142 CH	BUY	32.01	31,220	6.6x	5.8x	0.86x	0.77x	3.9x	3.2x	4.2%	4.8%	13.6%	13.9%	0.8%	0.8%
BONJ	XBNMF	601009 CH	NEUTRAL	11.26	20,562	6.1x	5.6x	0.70x	0.65x	3.1x	2.7x	5.2%	5.7%	12.0%	12.1%	0.7%	0.7%
BOSZ	XCZIF	002966 CH	NEUTRAL	8.02	5,296	6.6x	6.0x	0.67x	0.62x	3.9x	3.5x	4.9%	5.3%	10.5%	10.6%	0.6%	0.6%
CQRB	XCRQF	601077 CH	BUY	6.61	10,686	5.9x	4.8x	0.53x	0.50x	3.5x	3.2x	5.2%	5.8%	9.4%	9.7%	0.7%	0.8%
CSRB	XBJTF	601128 CH	NEUTRAL	6.23	3,357	4.9x	4.5x	0.65x	0.58x	2.9x	2.7x	4.3%	4.7%	13.9%	13.5%	1.1%	1.1%
SHRB	XQZAF	601825 CH	UNDERPERFORM	8.18	11,652	6.3x	6.0x	0.57x	0.53x	4.5x	4.3x	5.6%	5.9%	9.4%	9.2%	0.8%	0.7%
City/Rural commercial bank avg.					142,534	6.1x	5.6x	0.74x	0.68x	3.6x	3.3x	4.9%	5.4%	12.6%	12.6%	0.8%	0.7%

Source: BofA Global Research estimate, Bloomberg

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Acronym

ABC: Agricultural Bank of China
 BOC: Bank of China
 BoComm: Bank of Communications
 CCB: China Construction Bank
 ICBC: Industrial and Commercial Bank of China
 PSBC: Postal Savings Bank of China
 CEB: China Everbright Bank
 CMB: China Merchants Bank
 CNCB: China CITIC Bank
 MSB: China Minsheng Bank
 CIB: China Industrial Bank
 SPDB: Shanghai Pudong Development Bank
 PAB: Ping An Bank
 BOCD: Bank of Chengdu
 BOHZ: Bank of Hangzhou
 BOJS: Bank of Jiangsu
 BONB: Bank of Ningbo
 CQRB: Chongqing Rural Commercial Bank
 BEA: Bank of East Asia
 BOCHK: Bank of China (Hong Kong) Limited
 HSB: Hang Seng Bank
 StanChart: Standard Chartered

ASEAN: The Association of Southeast Asian Nations
 AT1: Additional Tier 1
 CAR: Capital Adequacy Ratio
 CASA ratio: the ratio of deposits in current, and saving accounts
 CD: Certificates of Deposit
 CET1: Core Equity Tier 1
 CIR: Cost-to-Income Ratio
 GBA: Greater Bay Area
 HKMA: Hong Kong Monetary Authority
 IFRS: International Financial Reporting Standard
 LCR: Liquidity Coverage Ratio
 LDR: Loan-to-Deposit Ratio
 LGFV: Local Government Financing Vehicle
 LPR: Loan Prime Rate
 LTV: Loan to Value
 MOF: Ministry of Finance
 MTM: Mark to Market
 NAV: Net Asset Value
 NII: Net Interest Income
 NIM: Net Interest Margin
 NPL: Non-performing Loan
 PE/VC: Private Equity / Venture Capital
 PPOP: Pre-provision Profit
 PPROA: Pre-provision Return on Asset
 ROE: Return on Equity
 RWA: Risk Weighted Asset
 SME: Small-and-Medium sized Enterprise
 SOE: State-owned Enterprise
 TLAC: Total Loss Absorption Capacity
 TSF: Total Social Financing
 WMP: Wealth Management Product
 YRD: Yangtze River Delta
 ZRBCG: Zunyi Road and Bridge Construction Group



Exhibit 30: Stocks mentioned

Prices and ratings for stocks mentioned in this report

BofA Ticker	Bloomberg ticker	Company name	Price	Rating
ACGBF	1288 HK	Agri Bank of China	HK\$ 5.88	B-1-7
XACNF	601288 CH	Agri Bank of China	CNY 6.66	B-2-7
XBCQF	601838 CH	Bank of Chengdu	CNY 18.45	B-1-7
BACZF	601988 CH	Bank Of China -A	CNY 6.01	B-2-7
BACHF	3988 HK	Bank Of China-H	HK\$ 5.33	A-2-7
XNCTF	601328 CH	Bank of Comm -A	CNY 7.04	B-1-7
BKFCF	3328 HK	Bank of Comm-H	HK\$ 7.34	A-2-7
XBHCF	600926 CH	Bank of Hangzhou	CNY 15.74	B-1-7
XBJCF	600919 CH	Bank of Jiangsu	CNY 11.57	B-1-7
XBNMF	601009 CH	Bank of Nanjing	CNY 11.26	B-2-7
XBINF	002142 CH	Bank of Ningbo	CNY 32.01	B-1-7
XCZIF	002966 CH	Bank of Suzhou	CNY 8.02	B-2-7
XCTBF	601939 CH	CCB -A	CNY 10.26	B-2-7
XBJTF	601128 CH	Changshu Rural Bank	CNY 6.23	B-2-7
CHCKF	601998 CH	China CITIC Bk -A	CNY 7.61	B-3-7
CHBJF	998 HK	China CITIC Bk-H	HK\$ 7.45	B-1-7
CICHF	939 HK	China Construct Bank	HK\$ 8.78	B-1-7
XCBLF	601818 CH	China Everbright Bk	CNY 3.15	B-3-7
INBLF	601166 CH	China Industrial Bk	CNY 18.33	B-1-7
CIHKF	600036 CH	China MERCH BK -A	CNY 39.2	B-1-7
CGMBF	1988 HK	China Minsheng Bank	HK\$ 3.56	B-3-7
CMAKF	600016 CH	China Minsheng Bank	CNY 3.5	B-3-7
CIHHF	3968 HK	CMB	HK\$ 48.76	B-3-7
XCRQF	601077 CH	CQRB-A	CNY 6.61	B-1-7
COGQF	3618 HK	CQRB-H	HK\$ 6.4	B-1-7
CEBCF	6818 HK	Everbright Bank	HK\$ 3.15	B-3-7
XIKNF	601398 CH	Ind & Comm BK -A	CNY 7.75	B-1-7
IDCBF	1398 HK	Ind & Comm BK -H	HK\$ 7.19	A-1-7
XPABY	000001 CH	Ping An Bank	CNY 11.1	B-1-7
PSBKF	1658 HK	Postal Savings Bank	HK\$ 4.91	B-3-7
XPSSF	601658 CH	Postal Savings Bank	CNY 5.12	B-2-7
SHVPF	600000 CH	Pudong Dev Bank	CNY 9.04	B-3-7
XQZAF	601825 CH	Shanghai Rural	CNY 8.18	B-3-7

Source: BofA Global Research

BofA GLOBAL RESEARCH

Investment Rationale

Agricultural Bank of China

ABC has delivered only a c.4% total return YTD, but has consistently posted sector-leading earnings growth over the past three years, incl 1Q26. We expect this outperformance to continue, supported by gradual NIM stabilization, industry-leading loan growth, and a relatively stronger provision buffer. We believe mkt concerns over recapitalization-related dilution are increasingly overdone. Policymakers are placing greater emphasis on growth quality which is also supportive.

Agricultural Bank Of China-A

We rate ABC-A Neutral, as its 11.6% YTD decline makes it the worst performer among the major listed banks. However, its valuation and dividend yield have become increasingly aligned with those of other SOE banks, leaving a more balanced risk-reward profile at current levels.

China Construction Bank -A

We rate CCB-A Neutral, given its less compelling valuation support and relatively weaker near-term earnings momentum. We expect CCB's 2Q26 revenue growth to modestly trail peers, largely due to a high base in 2Q25 that was boosted by unusually strong trading gains and wealth management fee income. Meanwhile, CCB-A has re-rated to among the highest valuations within the SOE bank group YTD, while its dividend yield has compressed to around 4%, the lowest among major peers.

China MERCH BK -A

We rate CMB-A Buy, supported by its undemanding valuation, attractive dividend yield, and improving earnings momentum. We expect CMB's net profit growth to accelerate from 1Q26 levels, helping narrow the gap with the Big Four banks. Meanwhile, its dividend yield has risen to over 5.3%, more than 1ppt above that of the Big Four banks and also higher than CMB-H, offering an attractive combination of growth and income.

Ind & Comm BK

ICBC fits with our focus on quality core holdings in the sector, given the low visibility on the macro outlook and the high volatility in share prices. We like ICBC for its leadership in China's consumer & corporate banking market. ICBC is defensive given its strong balance sheet and capital position, prudent growth strategy, and above-average ROE.

Price objective basis & risk

Agricultural Bank of China (ACGBF)

Our adjusted Gordon Growth model derived PO of HKD6.29, assumes an average ROE of 9.9%, a medium-term growth rate of 4.0%, cost of equity capital of 13.5%, and RMB/US\$ exchange rate of 1:6.8 by end-2026. At our PO, the stock would be trading at 6.4x average 2026-27E P/E, 0.62x average 2026-27E P/B, or 3.7x average 2026-27E P/POP. Downside risks to our earnings forecasts and PO are significant asset quality downturn in its rural lending, lower-than-expected growth due to capital constraint, and sharp margin compression. Upside risks are better-than-expected margin trend, and stabilization of credit costs.

Agricultural Bank Of China-A (XACNF)

ABC-A: Our adjusted Gordon Growth model derived PO of CNY6.91 assumes an average ROE of 9.9%, a medium-term growth rate of 4.0%, cost of equity capital of 11.5%. At our PO, the stock would be trading at 8.1x average 2026-27E P/E, 0.79x average 2026-27E P/BV, or 4.7x average 2026-27E P/POP. Downside risks to our earnings forecasts and PO are significant asset quality downturn in its rural lending, lower-than-expected growth due to capital constraint, and sharp margin compression. Upside risks are better-than-expected margin trend, and stabilization of credit costs.



Bank of Chengdu (XBCQF)

Our PO of CNY21.61 is based on 0.94x 2026-27E P/B, which is derived from an adjusted Gordon Growth model that assumes an average ROE of 14.3%, a medium-term growth rate of 4.0%, and a cost of equity of 15.0%. At our PO, the stock would be trading at 6.5x 2026-27E P/E and 4.6x 2026-27E P/PPOP.

Downside risks to our earnings forecasts and PO are slow development of Chengdu-Chongqing Economic Circle, local service, weakening asset quality and growth constraint by tight capital.

Upside risks are better-than-expected development of Chengdu-Chongqing Economic Circle, better-than-expected margin trend, and lower-than-expected credit costs.

Bank Of China (BACHF)

Our adjusted Gordon Growth model-derived PO of HKD5.39 assumes an average ROE of 8.6%, a medium-term growth rate of 4.0%, cost of equity of 13.0%, and RMB/US\$ exchange rate at 1:6.8 by end-2026. At our PO, the stock would be trading at 6.1x 2026-27E P/E, 0.51x 2026-27E P/BV, or 3.4x 2026-27E P/PPOP.

Downside risks to our earnings forecasts and PO are any significant FX loss from the RMB volatility, significant asset quality downturn, and worse-than-expected margin compression.

Upside risks are the stronger-than-expected margin recovery in FX business, and lower-than-expected NPL formation.

Bank Of China -A (BACZF)

Our adjusted Gordon Growth model-derived PO of CNY6.01 assumes an average ROE of 8.6%, a medium-term growth rate of 4.0%, cost of equity of 11.0%. At our PO, the stock would be trading at 7.9x 2026-27E P/E, 0.66x 2026-27E P/BV, or 4.3x 2026-27E P/PPOP.

Downside risks to our earnings forecasts and PO are any significant FX loss from the RMB volatility, significant asset-quality downturn, and worse-than-expected margin compression.

Upside risks are the stronger-than-expected margin recovery in FX business, and lower-than-expected NPL formation.

Bank of Comm (BKFCF)

Our adjusted Gordon Growth model-derived PO of HKD6.96 assumes an average ROE of 7.9%, a medium-term growth rate of 4.0%, cost of equity of 13.0%, and RMB/US\$ FX rate at 1:6.8 by end-2025. At our PO, the stock would be trading at 5.6x 2026-27E P/E, 0.43x 2026-27E P/B, or 3.0x 2026-27E P/PPOP.

Upside risks to our earnings forecasts and PO are lower-than-expected NPL formation and better-than-expected margin trend.

Downside risks to our earnings forecasts and PO are worse-than-expected asset-quality deterioration and continued margin deterioration due to lower market rates.

Bank Of Communications Co-A (XNCTF)

Our adjusted Gordon Growth model-derived PO of CNY7.76 assumes an average ROE of 7.9%, a medium-term growth rate of 4.0%, and cost of equity of 11.0%. At our PO, the stock would be trading at 7.2x 2026-27E P/E, 0.55x 25E P/B, or 3.9x 2026-27E P/PPOP.

Upside risks to our earnings forecasts and PO are lower-than-expected NPL formation, and better than expected margin trend.

Downside risks to our earnings forecasts and PO are worse-than-expected asset-quality deterioration, and continued margin deterioration due to lower market rates.

Bank of Hangzhou (XBHCF)

Our PO of CNY19.54 is based on 0.9x 2026-27E P/B, which is derived from an adjusted Gordon Growth model that assumes an average ROE of 14.0%, a medium-term growth rate of 4.0%, and a cost of equity of 15.0%. At our PO, the stock would be trading at 7.1x 2026-27E P/E or 5.0x 2026-27E P/PPOP.

Downside risks to our earnings forecasts and PO are slow new business development, local services, LGFV risks, economy slowdown, potential private placement and deteriorating asset quality.

Upside risks are better-than-expected new business development, better-than-expected margin trend and lower-than-expected credit costs.

Bank of Jiangsu (XBJCF)

Our PO of CNY13.42 is based on 0.83x 2026-27E P/B, which is derived from an adjusted Gordon Growth model that assumes an average ROE of 13.1%, a medium-term growth rate of 4.0%, and a cost of equity of 15%. At our PO, the stock would be trading at 7.0x 2026-27E P/E and 3.6x 2026-27E P/PPOP.

Downside risks to our earnings forecasts and PO are local services, economy slowdown and deteriorating asset quality.

Downside risks are weaker-than-expected margin trend and higher-than-expected credit costs.

Bank of Nanjing (XBNMF)

Our PO for BONJ is CNY13.02, based on 0.78x 2026-27E P/B, which is derived from an adjusted Gordon Growth model that assumes a medium-term ROE of 11.8%, a medium-term growth rate of 4.0%, and a cost of equity (COE) of 14.0%. At our PO, the stock would be trading at 7.1x 2026-27E P/E or 3.6x 2026-27E P/PPOP.

Downside risks to our earnings forecasts and PO are a sharp margin decline, higher-than-expected NPL formation and credit costs, and reduced leverage due to higher capital adequacy requirement.

Upside risks to our earnings forecasts and PO are stronger-than-expected margin performance and lower-than-expected NPL formation

Bank of Ningbo (XBINF)

Our PO of CNY40.17 is based on 1.02x 2026-27E P/B, which is derived from an adjusted Gordon Growth model that assumes an average ROE of 14.2%, a medium-term growth rate of 4.0%, and a cost of equity of 14.0%. At our PO, the stock would be trading at 8.3x 2026-27E P/E or 4.9x 2026-27E P/PPOP.

Downside risks to our earnings forecasts and PO are significant asset quality downturn in its SME and retail consumer lending, lower-than-expected volume growth, and sharp margin compression.

Upside risks are better-than-expected margin trend, and lower-than-expected credit costs.

Bank of Suzhou (XCZIF)



Our CNY9.66 PO is based on 0.77x 2026-27E P/B, assuming medium-term ROE of 11.7%, medium-term sustainable growth of 4.0%, and cost of equity of 14.0% on asset quality concerns. At our PO, the stock would be trading at 7.9x 2026-27E P/E or 4.7x 2026-27E P/PPOP.

Downside risks to our PO are higher-than-expected credit-cost, a marked deterioration in asset quality, and worse-than-expected margin decline, potentially due to unfavorable interest rate changes.

Upside risks are the potentially better-than-expected margin performance and lower-than-expected NPL formation.

China CITIC Bk (CHBJF)

Our adjusted Gordon Growth model derived PO of HKD9.02 assumes an average ROE of 9.2%, a medium-term growth rate of 4.0%, a cost of equity of 13.50%, and US\$/RMB exchange rate of 1:6.8 in 2026-27E. At our PO, the stock would be trading at 6.1x 2026-27E P/E, 0.55x 2026-27E P/B and 2.9x 2026-27E P/PPOP.

Downside risks are higher than expected credit cost requirement by the regulators, significant deterioration in system-wide asset quality, and margin compression due to the continued decline in market rates.

Upside risks are the potentially better-than-expected margin performance and lower-than-expected NPL formation.

China CITIC Bk -A (CHCKF)

Our adjusted Gordon Growth model derived PO of CNY8.26 assumes an average ROE of 9.2%, a medium-term growth rate of 4.0%, and a cost of equity of 13.00%. At our PO, the stock would be trading at 6.4x 2026-27E P/E, 0.58x 2026-27E P/B, or 3.1x 2026-27E P/PPOP.

Downside risks are higher than expected credit cost requirement by the regulators, significant deterioration in system-wide asset quality, and margin compression due to the continued decline in market rates.

Upside risks are the potentially better-than-expected margin performance and lower-than-expected NPL formation.

China Construction Bank (CICHF)

Our adjusted Gordon Growth model-derived PO of HKD9.72 assumes an average ROE of 9.2%, medium-term growth of 4.0%, a cost of equity of 13.0%, and a US\$/RMB exchange rate of 1:6.8 by end-2026. At our PO, the stock would be trading at 6.3x average 2026-27E P/E, 0.58x average 2026-27E P/B, or 4.8x average 2026-27E P/PPOP. Risks to our PO are higher-than-expected credit-cost, a marked deterioration in system asset quality, and worse-than-expected margin decline, potentially due to unfavorable interest rate changes. Upside risks are the potentially better than expected margin performance and lower-than-expected NPL formation.

China Construction Bank -A (XCTBF)

Our adjusted Gordon Growth model-derived PO of CNY10.84 assumes an average ROE of 9.2%, medium-term growth of 4.0%, a cost of equity of 11.0%. At our PO, the stock would be trading at a 8.1x average 2026-27E P/E, 0.74x average 2026-27E P/B, or 6.2x average 2026-27E P/PPOP. Risks to our PO are higher-than-expected credit-cost, a marked deterioration in system asset quality, and worse-than-expected margin decline, potentially due to unfavorable interest rate changes. Upside risks are the potentially better than expected margin performance and lower-than-expected NPL formation.

China Everbright Bank (XCBLF)

Our adjusted Gordon Growth model derived PO of CNY2.92 assumes an average ROE of 7.1%, a medium-term growth rate of 4.0%, a cost of equity of 13.5%. At our PO, the stock would trade at 5.0x 2026-27E P/E, 0.32x 2026-27E P/B, or 2.0x 2026-27E P/POP.

Downside risks to our PO are: higher-than-expected credit cost requirements by regulators, significant deterioration in system-wide asset quality, and margin compression due to the continued decline in market rates.

Upside risks to our PO are: potentially better-than-expected margin performance and lower-than-expected NPL formation.

China Everbright Bank (CEBCF)

Our adjusted Gordon Growth model derived PO of HKD2.91 assumes an average ROE of 7.1%, a medium-term growth rate of 4.0%, a cost of equity of 15.0%, and a USD/CNY exchange rate of 1:6.8 in 2026-27E. At our PO, the stock would trade at 4.3x 2026-27E P/E, 0.28x 2026-27E P/B, or 1.7x 2026-27E P/POP.

Downside risks to our PO are: higher-than-expected credit cost requirements by regulators, significant deterioration in system-wide asset quality, and margin compression due to the continued decline in market rates.

Upside risks to our PO are: potentially better-than-expected margin performance and lower-than-expected NPL formation.

China Industrial Bank Co. Ltd. (INBLF)

Our PO of CNY22.56 is based on 0.53x 2026-27E P/B, which is derived from an adjusted Gordon Growth model that assumes an average ROE of 9.01%, a medium-term growth rate of 4.0%, and a cost of equity of 13.5%. At our PO, the stock would be trading at 6.1x 2026-27E P/E or 3.1x 2026-27E P/POP.

Downside risks to our PO are a sharp margin decline, higher-than-expected credit costs in its interbank assets, and significant deterioration in system-wide asset quality.

Upside risks to our PO are continued rapid asset size growth, improving deposit franchise, and better capital position.

China MERCH BK -A (CIHKF)

Our adjusted Gordon Growth model-derived PO of CNY43.44 assumes an average ROE of 11.9%, a medium-term growth rate of 4.0%, a cost of equity of 13.0%. At our PO, the stock would be trading at 7.3x average 2026-27E P/E, 0.88x average 2026-27E P/B or 4.9x average 2026-27E P/POP.

Upside risks are stronger-than-expected margin performance, faster-than-expected fee income growth, and lower-than-expected NPL formation.

China Merchants Bank (CIHMF)

Our adjusted Gordon Growth model-derived PO of HKD50.09 assumes an average ROE of 11.9%, a medium-term growth rate of 4.0%, a cost of equity of 13.0%, and a RMB/US\$ FX rate at 1:6.8 by 2026-end. At our PO, the stock would be trading at 7.3x average 2026-27E P/E, 0.88x average 2026-27E P/B or 4.9x average 2026-27E P/POP.

Downside risks to our PO are larger-than-expected margin decline, worse-than-expected slowdown in fee income, and higher-than-expected non-performing loan (NPL) formation. Upside risks are stronger-than-expected margin performance, faster-than-expected fee income growth, and lower-than-expected NPL formation.



China Minsheng Banking Corp Ltd (CGMBF)

Our PO of HKD3.53 is based on 0.23x 2026E P/B, which is derived from an adjusted Gordon Growth model that assumes an average ROE of 6.7%, a medium-term growth rate of 4.0%, a cost of equity of 16.0%, and a USD/CNY exchange rate of 1:6.8 in 2026E. At our PO, the stock would be trading at 4.9x 2026-27E P/E or 1.5x 2026-27E P/POP.

Downside risks to our earnings forecasts and PO are a sharp margin decline, higher-than-expected NPL formation and credit costs, and reduced leverage due to higher capital adequacy requirement. Upside risks to our earnings forecasts and PO are stronger-than-expected margin performance and lower-than-expected NPL formation.

China Minsheng Banking Corp Ltd -A (CMAKF)

Our PO of CNY3.50 is based on 0.26x 2026E P/B, which is derived from an adjusted Gordon Growth model that assumes an average ROE of 6.7%, a medium-term growth rate of 4.0%, and a cost of equity of 14.5%. At our PO, the stock would be trading at 5.6x 2026-27E P/E or 1.7x 2026-27E P/POP.

Downside risks to our earnings forecasts and PO are a sharp margin decline, higher-than-expected NPL formation and credit costs, and reduced leverage due to higher capital adequacy requirement. Upside risks to our earnings forecasts and PO are stronger-than-expected margin performance and lower-than-expected NPL formation.

Chongqing Rural Commercial Bank (COGQF)

Our Gordon Growth model derived PO of HKD8.26 assumes an average 2026-27E ROE of 9.3%, a medium-term growth rate of 4.0%, cost of equity of 13.5%, and RMB/US\$ FX rate at 1:6.8 by 2026YE. At our PO, the stock would be trading at 4.0x average 2026-27E P/E, 0.6x average 2026-27E P/B and 3.8x average 2026-27E P/POP.

Upside risks to our PO are stronger-than-expected margin performance, continued high asset size growth, and lower-than-expected credit costs.

Downside risks to our PO are significant asset quality deterioration and sharp margin compression.

Chongqing Rural Commercial Bank - A (XCRQF)

Our adjusted Gordon Growth model derived PO of CNY8.51 assumes an average 2026-27E ROE of 9.3%, a medium-term growth rate of 4.0%, cost of equity of 12.0%. At our PO, the stock would be trading at 6.5x average 2026-27E P/E, 0.7x average 2026-27E P/B and 4.0x average 2026-27E P/POP.

Downside risks to our PO are significant asset quality deterioration and sharp margin compression.

Ind & Comm BK (IDCBF)

Our adjusted Gordon Growth model-derived PO of HKD7.69 assumes a mid-term ROE of 9.0%, medium-term growth of 4.0%, cost of equity of 13.0%, and US\$/RMB exchange rate of 1:6.8 by end-2026. At our PO, the stock would be trading at 6.3x average 2026-27E P/E, 0.56x average 2026-27E P/BV, or 4.8x average 2026-27E P/POP. Risks to our earnings forecasts and PO are a sharp margin decline, higher-than-expected NPL formation and credit costs, and reduced leverage due to higher capital adequacy requirement. Upside risks to our earnings forecasts and PO are stronger-than-expected margin performance and lower-than-expected NPL formation.

Ind & Comm BK -A (XIKNF)

Our adjusted Gordon Growth model-derived PO of CNY8.57 assumes a mid-term ROE of 9.0%, medium-term growth of 4.0%, cost of equity of 11.0%. At our PO, the stock would be trading at 8.1x average 2026-27E P/E, 0.72x average 2026-27E P/BV, or 6.2x average

2026-27E P/POPOP. Risks to our earnings forecasts and PO are a sharp margin decline, higher-than-expected NPL formation and credit costs, and reduced leverage due to higher capital adequacy requirement. Upside risks to our earnings forecasts and PO are stronger-than-expected margin performance and lower-than-expected NPL formation.

Jiangsu Changshu Rural Commercial Bank (XBJTF)

Our PO CNY7.14 is based on 0.7x 2026-27E average P/B, which is derived from an adjusted Gordon Growth model that assumes a medium-term ROE of 12.1%, medium-term growth rate of 4.0%, and a cost of equity (COE) of 15.5%. At our PO, the stock would be trading at 5.7x 2026-27E P/E or 3.3x 2026-27E P/POPOP. The target P/B multiple is within CSRB's trading range at 0.68-1.62x since 2018, as we expect the bank to deliver solid earnings growth and profitability in 2026-27E.

Downside risks: 1) asset quality could weaken as an economic slowdown, 2) lower loan demand.

Ping An Bank (XPABY)

Our PO of CNY13.41 is based on 0.52x 2026-27E P/B, which is derived from an adjusted Gordon Growth model that assumes an average ROE of 8.97%, a medium-term growth rate of 4.0%, and a cost of equity of 13.5%. At our PO, the stock would be trading at 6.0x 2026-27E P/E or 2.7x 2026-27E P/POPOP.

Downside risks to our earnings forecasts and PO are general macro and regulatory risks to the banking sector, significant asset quality downturn in its retail consumer lending, lower-than-expected volume growth, sharp margin compression and larger-than-expected capital consumption.

Upside risks are lower-than-expected credit costs, better-than-expected margin trend, and achievement of organic capital growth.

Postal Savings Bank of China (PSBKF)

Our adjusted Gordon Growth model derived PO of HKD4.68 assumes an average ROE of 8.0%, a medium-term growth rate of 4.0%, cost of equity capital of 13.0%, and RMB/US\$ exchange rate of 1:6.8 by end-2026. At our PO, the stock would be trading at 5.6x average 2026-27E P/E, 0.50x average 2026-27E P/B, or 3.1x average 2026-27E P/POPOP.

Downside risks to our earnings forecasts and PO are rising credit risks in personal and SME loans, weak fee income and a high reliance on interest income etc. Upside risks are further cut to deposit agency fees, NIM enhancement driven by continued asset re-allocation and significant improvement in cost-income ratio.

Postal Savings Bank of China - A (XPSSF)

Our adjusted Gordon Growth model derived PO of CNY5.22 assumes an average ROE of 8.0%, a medium-term growth rate of 4.0%, cost of equity capital of 11.0%. At our PO, the stock would be trading at 7.3x average 2026-27E P/E, 0.6x average 2026-27E P/B, or 4.0x average 2026-27E P/POPOP.

Downside risks to our earnings forecasts and PO are rising credit risks in personal and SME loans, weak fee income and a high reliance on interest income etc. Upside risks are further cut to deposit agency fees, NIM enhancement driven by continued asset re-allocation and significant improvement in cost-income ratio.

Shanghai Pudong Dev Bank (SHVPF)

Our PO of CNY8.28 is based on 0.35x 2026-27E P/B, which is derived from an adjusted Gordon Growth model that assumes a medium-term ROE of 7.2%, a medium-term growth rate of 4.0%, and a cost of equity of 13.25%. At our PO, the stock would be

trading at 5.5x 2026-27E P/E or 2.2x 2026-27E P/PPOP.

Downside risks to our PO are sharp margin decline, higher than expected NPL formation and credit costs, and capital requirement by the regulators.

Upside risks to our PO are stronger-than-expected margin performance, continued high asset growth, and lower-than-expected NPL formation.

Shanghai Rural Commercial Bank (XQZAF)

Our PO of CNY8.63 is based on 0.58x 2026-27E P/B, which is derived from an adjusted Gordon Growth model that assumes an average ROE of 9.3%, a medium-term growth rate of 4.0%, and a cost of equity of 13.0%. At our PO, the stock would be trading at 6.6x 2026-27E P/E or 4.8x 2026-27E P/PPOP.

Downside risks to our earnings forecasts and PO are significant asset quality downturn, lower-than-expected volume growth, sharp margin compression and faster-than-expected capital consumption.

Upside risks are: strong policy stimulus, notable dividend payout raise, fast FVTOCI asset sales, and insurance capital purchase.

Analyst Certification

We, Winnie Wu, Emma Xu and Wenqing Han, CFA, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

Greater China - Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Agricultural Bank of China	ACGBF	1288 HK	Winnie Wu
	AIA Group Limited	AAIGF	1299 HK	Michael Li
	Bank of Chengdu	XBCQF	601838 CH	Wenqing Han, CFA
	Bank Of Communications Co-A	XNCTF	601328 CH	Winnie Wu
	Bank of Hangzhou	XBHCF	600926 CH	Wenqing Han, CFA
	Bank of Jiangsu	XBJCF	600919 CH	Wenqing Han, CFA
	Bank of Ningbo	XBINF	002142 CH	Wenqing Han, CFA
	Cathay FHC	XCIF	2882 TT	Michael Li
	China CITIC Bk	CHBJF	998 HK	Emma Xu
	China Construction Bank	CICF	939 HK	Winnie Wu
	China Galaxy Securities Co Ltd	XCXYF	601881 CH	Susie Liu, CFA
	China Industrial Bank Co. Ltd.	INBLF	601166 CH	Emma Xu
	China International Capital Corporation	CNICF	3908 HK	Susie Liu, CFA
	China Life Insurance	CLJF	2628 HK	Michael Li
	China MERCH BK -A	CHKF	600036 CH	Winnie Wu
	China Merchants Securities	XMRKF	600999 CH	Susie Liu, CFA
	China Merchants Securities	CHMSF	6099 HK	Susie Liu, CFA
	China Pacific Insurance Group	CHPXF	2601 HK	Michael Li
	China Securities Corp	CSCFF	6066 HK	Susie Liu, CFA
	Chongqing Rural Commercial Bank	COGQF	3618 HK	Wenqing Han, CFA
	Chongqing Rural Commercial Bank - A	XCRQF	601077 CH	Wenqing Han, CFA
	CITIC Securities	CIIHF	6030 HK	Susie Liu, CFA
	CITIC Securities -A	CIISF	600030 CH	Susie Liu, CFA
	CTBC FHC	CTFHF	2891 TT	Susie Liu, CFA
	E.Sun FHC	ESUFF	2884 TT	Michael Li
	Fubon FHC	FUISF	2881 TT	Michael Li
	Futu Holdings	FUTU	FUTU US	Emma Xu
	FWD Group	XFGVF	1828 HK	Michael Li
	GF Securities	GFSEF	1776 HK	Susie Liu, CFA
	GF Securities	XMPQF	000776 CH	Susie Liu, CFA
	Guolian Minsheng Securities	XLTYF	601456 CH	Susie Liu, CFA
	Guotai Haitong Securities	GUOSF	2611 HK	Susie Liu, CFA
	Guotai Haitong Securities-A	XOQOF	601211 CH	Susie Liu, CFA
	Hithink Royalfush	XHIFF	300033 CH	Susie Liu, CFA
	HKEX	HKXCF	388 HK	Michael Li
	HSBC	XHSBF	5 HK	Emma Xu
	Huatai Securities	XHTLF	601688 CH	Susie Liu, CFA
	Huatai Securities	HUATF	6886 HK	Susie Liu, CFA
	Ind & Comm BK	IDCBF	1398 HK	Winnie Wu
	Ind & Comm BK -A	XIKNF	601398 CH	Winnie Wu
	PICC Group	PINXF	1339 HK	Michael Li
	PICC Property & Casualty	PPCCF	2328 HK	Michael Li
	Ping An Bank	XPABY	000001 CH	Emma Xu
	Ping An Insurance	PIAIF	2318 HK	Michael Li
	Ping An Insurance	XPSPF	601318 CH	Michael Li
	UP Fintech Holding	TIGR	TIGR US	Emma Xu
	ZhongAn Online P&C Insurance	ZZHGF	6060 HK	Michael Li
NEUTRAL				
	Agricultural Bank Of China-A	XACNF	601288 CH	Winnie Wu
	Bank Of China	BACHF	3988 HK	Winnie Wu
	Bank Of China -A	BACZF	601988 CH	Winnie Wu
	Bank of Comm	BKFCF	3328 HK	Winnie Wu
	Bank of Nanjing	XBNMF	601009 CH	Wenqing Han, CFA
	Bank of Suzhou	XCZIF	002966 CH	Wenqing Han, CFA
	BOC Hong Kong Holdings Ltd	BNKHF	2388 HK	Winnie Wu
	Chailease	XCAHZ	5871 TT	Susie Liu, CFA
	China Construction Bank -A	XCTBF	601939 CH	Winnie Wu
	China Galaxy Securities Co Ltd	CGXYF	6881 HK	Susie Liu, CFA
	China Intl Capital Corp - A	XCIF	601995 CH	Susie Liu, CFA
	Jiangsu Changshu Rural Commercial Bank	XBJTF	601128 CH	Wenqing Han, CFA
	Postal Savings Bank of China - A	XPSSF	601658 CH	Winnie Wu
	Qfin Holdings	QFIN	QFIN US	Emma Xu
	Qfin Holdings	QFNHF	3660 HK	Emma Xu



Greater China - Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Standard Chartered	XCHBF	2888 HK	Emma Xu
UNDERPERFORM				
	Bank of E Asia	BKEAF	23 HK	Emma Xu
	Bank of E Asia-A	BKEAY	BKEAY US	Emma Xu
	BOC International (China)	XLFTF	601696 CH	Susie Liu, CFA
	China CITIC Bk -A	CHCKF	601998 CH	Emma Xu
	China Everbright Bank	CEBCF	6818 HK	Emma Xu
	China Everbright Bank	XCBLF	601818 CH	Emma Xu
	China Life Insurance	XCNNF	601628 CH	Michael Li
	China Merchants Bank	CIHHF	3968 HK	Winnie Wu
	China Minsheng Banking Corp Ltd	CGMBF	1988 HK	Emma Xu
	China Minsheng Banking Corp Ltd -A	CMAKF	600016 CH	Emma Xu
	China Pacific Insurance Group	XQJNF	601601 CH	Michael Li
	China Securities Corp	XCSIF	601066 CH	Susie Liu, CFA
	New China Life	NWWCF	1336 HK	Michael Li
	New China Life	XNWCF	601336 CH	Michael Li
	Orient Securities	XOBNF	600958 CH	Susie Liu, CFA
	Orient Securities	XONQF	3958 HK	Susie Liu, CFA
	PICC Group	XPIDF	601319 CH	Michael Li
	Postal Savings Bank of China	PSBKF	1658 HK	Winnie Wu
	Shanghai Pudong Dev Bank	SHVPF	600000 CH	Emma Xu
	Shanghai Rural Commercial Bank	XQZAF	601825 CH	Wenqing Han, CFA
RVW				
	Lufax Holding	LU	LU US	Emma Xu

Disclosures

Important Disclosures

Equity Investment Rating Distribution: Banks Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	119	54.84%	Buy	104	87.39%
Hold	57	26.27%	Hold	44	77.19%
Sell	41	18.89%	Sell	32	78.05%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2}Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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